SOP-PROCRUMENT

[CONFIDENTIAL]
[UTTHUNGA]
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Table of Contents

1 Purpose 4
2 Scope 4
3 Abbreviations 4
4 Terms and Definitions 4
5 Responsibilities 5
6 RACI 6
7 SIPOC 6
8 Overall Process Flow Chart 7
9 Process Description 8
10 References 22
11 Metrics 22
12 Annexures 23
13 Forms 23

CHANGE HISTORY

This section describes the details of changes that have resulted in the current document.

SL. No.	Document Version No.	Change Description	Reason For change	Date Prepared By	Date Reviewed By	Date Approved By
1	0.1	Draft	Implementation of the Integrated Management System	Vignesh S 04-Jul-22		
2	Issue B Version 1.0	Revised the Document to suit the requirements for implementation of the integrated management system			Rama G 06-Jul-22	Yogesh D 08-Jul-22
3	Issue B Version 1.1	Revised the Document for Supplier Selection Criteria, Supplier Assessment Process, Payment Policy and Inventory Management	Implementation of the MRF Raising and Approving Authorities Supplier Selection Criteria, Supplier Assessment Process, Payment Policy and Inventory Management	Vignesh S 18-Jan-23	Rama G 18-Jan-23	Yogesh D 24-Jan-2023
4	Issue B Version 1.2	Revised the Document for Flowchart, Inventory Responsibility, Supplier Onsite Inspection and Metrics	Implementation of Supplier Onsite Inspection Criteria Inputs from Senior Management	Vignesh S Parikshith K 26-Jun-23	Rama G 28-Jun-23	Yogesh D 30-Jun-23 Rama G 26-Jul-23
5	Issue B Version 1.3	Revised the document for elaborated process involved for	To enhance all business unit procurement process to a centralized	Nithish singh 21-Mar-24	Arun Prasad Bipinlal	Sanmangala MS 12-Apr-24

		different business unit with utthunga.	procurement process.		Sanjeeva BG Manjunath 11-Apr-2024	
6	Issue B Version 1.4	Clauses 9.1.7.12 & 9.1.8 revised to describe the hierarchy on approval of Purchase orders. Checklist for PO approval	Review Comments addressed.	Arun Prasad M 24-Apr-24	Sanmangala MS 24-Apr-24	Krishnan KM 02-May-24
7	Issue B Version 1.5	Clause 9.1.1,9.1.7,9.2.3, 9.10 revised to include Off the shelf Software procurement, Annexure B for SLA timeline	Implementation of IT approval for software procurement, Adherence to the SLA and SLA Timeline	Nithish Singh. 03-Oct-24	Arun Prasad M & Eshwara KR 18-Oct-24	Sanmangala MS 18-Oct-24
8	Issue B Version 1.6	Document formatting done as per document guidelines		Siva Prasad P 20-Dec-24		
9	Issue C Version 1.0	Review of document	New version update of IMS	Anitha N 01-08-2025	Santosh V 08-Aug-25	Sanmangala M S 14-08-2025

1 Purpose

To ensure all procurements made at Utthunga such as Hardware, Software, Accessories, Equipment, Services, or any others is governed by this procedure.

2 Scope

This applies to procurements done by all the projects and support groups at Utthunga. The procurements could be done as part of the project or for the use by the organization.

3 Abbreviations

a. CEO – Chief Executive Officer

b. PM - Project Manager

c. SA - System Administrator

d. SVN - Source Version Control

e. ICT - Information Communications Technology

f. SLA - Service Level Agreements

g. RFQ - Request for Quotation

h. GRN - Goods Receipt Note

i. IR – Inspection Report

j. QMS – Quality Management System

k. ASL – Approved Supplier List

l. OEM – Original Equipment Manufacturer

m. NDA – Non-Disclosure Agreement

n. MRF – Material Request Form

o. L1 – Lowest Quote

p. QAP – Quality Assurance Plan

q. ERP - Enterprise Resource Planner

4 Terms and Definitions

In this document the terms Purchase & Procurement are used interchangeably, all these usages are for denoting the procurement.

5 Responsibilities

a. Purchase Manager/Officer is responsible for overall purchasing activities.
b. Purchase Manager/Officer is responsible for reviewing MRF.
c. Purchase Manager/Officer or Person designated shall review the MRF based on the project / BU budget availability and project kick off Margin sheet.
d. Purchase Manager is responsible for seeking approval from Finance Manager or a person designated for releasing the PO, if the budget Is not available.
e. Purchase Manager/Officer shall prepare and release the PO.

IT Manager shall approve all the MRF related to Software & IT Hardware (Ex, Monitor, Phones, Desktops, Switches, Firewall, Servers, Router, Hard disk pen drive) requirement across the organization.

Overall activities of Procurement Function:

- Float the Enquiry/RFQ to the Preferred Supplier/ASL and same for identifying new Suppliers for the new requirement as per the specification by the requestor.
- Negotiate the price with the Suppliers for finalization.
- Place PO to the competitive Suppliers.
- Follow-up the Suppliers for materials/services as per the PO.
- Take corrective action in case of non-conformances.
- Review business objectives every month.
- Register and approve Suppliers.
- Evaluate Suppliers and provide feedback to the respective teams/departments.
- Based on the inspection feedback from quality/technical/concern MRF requestor, initiation shall be taken with the Suppliers/vendors.
- Co-ordinate with Suppliers and inter departments for effective supply of materials on time.

6 RACI

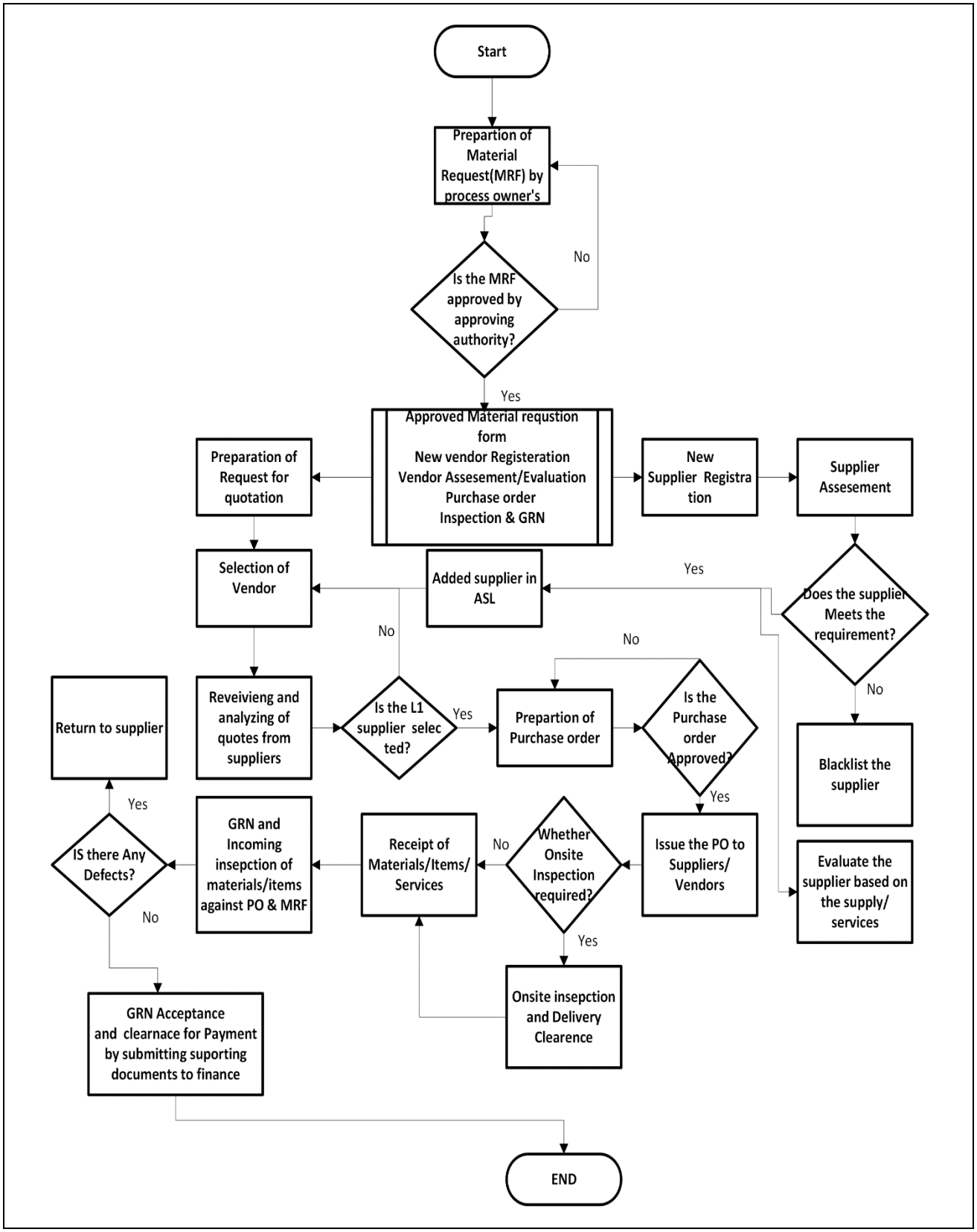
Process	Responsible	Accountable	Consulted	Informed
Supplier Selection and Evaluation Process	Purchase Manager/Officer / Requestor	Purchase Head Quality Manager	Purchase Manager/Officer/ Quality head	Top Management
Purchase Process	Purchase Manager/Officer	Purchase Head	Top Management	Respective User Team
GRN & IR Process	Purchase Manager/Officer / Requestor/Quality	Purchase Head/Quality Manager	Respective User Team	Top Management

7 SIPOC

Supplier	Input	Process and Control		Output	Customer
		Process	Control		
Purchase team / Requestor	Supplier Information	Supplier Selection and Evaluation Process	Assessment basis	Approved Supplier list and rating of Supplier	Concerned Team
Requestor	Request for purchase	Purchase Process	Approval Mechanism	Purchase Order	Respective Team / Supplier
Supplier	Material / Service Delivery	GRN Process	Approval Mechanism	GRN	Respective Team

8 Overall Process Flow Chart

Procurement Process



9 Process Description

9.1 Purchase Process

9.1.1 All purchases are classified into following categories:

a. Capital Goods.

b. Consumables.

c. Services & Sub-contracting.

d. Off the shelf software & IT Hardware

9.1.2 Any purchase requirements within utthunga for projects, asset/capital requirements shall follow this process as described below.

a. The Project Manager or the person designated shall prepare the MRF and share MRF along with the BOM to procurement team with necessary technical details.

b. The Purchase manager shall raise the request for quotation and shared with vendor.

c. If the project required procurements to be reimbursed and needs prior approval by customer, Project Manager shall share the quotation to customer and separate approval with PO shall be received.

d. MRF shall be approved by Delivery Manager or person designated by BU Head.

e. The Project team is responsible for raising MRF for any software/ infrastructure /outsourcing as required by project requirements.

f. In Case of off the shelf software requirements for project & support function teams, Division heads/BU head shall review and approve the requirements.

g. The Software shall meet functional and business Requirements to solve specific business needs or problem. And shall evaluate the software's capabilities, compatibility, and features to satisfy needs of the business.

h. Upon review of above factors MRF shall be raised and approved by division/BU Head.

i. IT team to validate required software to be procured in terms of security and organization ISMS control requirements using the following factors.

- Compliance to security standards such as ISO 27001.
- Data Management provision for storage by who, when and where.
- Post order support and maintenance.
- Vendor Reliability and retention
- Integration capabilities

- Risk and contingency plan related to disaster recovery and business continuity plan.
- User Training and documentation
- Costing and licensing.

j. All the requirements such as any items, equipment, services required for the support functions, the MRF will be raised by the designated person or Manager.

k. In case of support function, the approval of MRF will be done by support functions head.

l. Any requirement for IT software & Hardware additionally IT Manager shall approve the MRF.

m. The MRF requirements shall be precise, and its respective technical or purchase specifications or QAP shall be enclosed along with the MRF.

n. All The MRF of Capital goods or Capex items or services intended for Utthunga's sole requirements, MD/CEO approval shall be obtained prior to initiate the purchasing activities.

o. The responsibilities of obtaining the approval form MD/CEO for Capital goods & services lies with the concern requestors only.

p. The approved MRF will be forwarded by requestor to purchase team for further processing.

9.1.3 The Purchase Manager/Officer shall follow the below process as described.

a. Purchase Manager/officer shall review the approved MRF for requirements including technical or purchase specifications or QAP and for the project budget availability.

b. Requisition shall be returned to the requestor for any discrepancies such as non-approval / cancellation / Project Budget, or Margin not available / Purchase cost not considered in the Project Budget / Item Stock available etc.

c. Based on the approved MRF Purchase Manager shall raise the request for quotation and circulated to Suppliers/Vendors.

d. Suppliers/Vendors selection, registration, assessment, and evaluation shall be followed as described in section 9.2 of this SOP.

e. Quotes shall be requested for purchases from multiple Suppliers (minimum three quotes).

f. For Software requirements where the preferred vendor may be from one source or online purchase the procurement team shall proceed with same after the validation done by IT team.

g. In case of multiple sources, the below procedure shall be followed.

h. RFQ/Enquiry is floated to the Preferred Suppliers by the Purchase manager and shall identify suitable new Suppliers as per the requirement specification.

i. RFQ/Enquiry directly floated to the approved/preferred Suppliers in the following cases for price confirmation:

- Material/Service from the OEM approved Suppliers/authorized channel partners/distributors.
- Approved Suppliers.
- Customer Approved Suppliers.
- Authorized Service Providers.

j. Purchase Manager shall evaluate the Quotes received from the Suppliers/Vendors and shall communicate with concern requestor or project manager for technical evaluation. If any clarification raised by vendor shall be addressed by concerned team through purchase manager.

k. After completion of technical evaluation and price negotiation purchase manager shall prepare a comparison sheet with respect to scope of work, price, delivery, and payment terms.

l. Comparisons are prepared for Purchase order where the value of the material is greater than Rs. 10,000/- and Approved Pricelist is not available.

m. In consultation with technical team or Concerned requestor/Project manager and BU head shall select L1 Suppliers and Purchase order shall be prepared by Purchase Manager.

n. If the cost of the procurement exceeds the project/capital goods budget, BU Head/Dept Head & purchase Manager shall provide justification and approval shall be taken form CFO if the cost variance can be accommodated within overall project/support function/capital goods budget.MD/CEO approval is mandatory whenever cost variance cannot be accommodated within the overall project /support function/capital goods budget.

o. Cost Comparison is not required for the following Cases:

- Machinery & Equipment Spares procured directly from the manufacturer/authorized Service provider or his agent.

- Customer recommended Supplier.
- For manufacturer recommended consumable items

p. If the quotation is received only from one Supplier for the above cases, justification must be given through mail communication by delivery manager with Bu head approval for raising the Purchase order.

q. The Purchase order for Capital goods & services, sales and marketing shall be approved by MD/CEO

r. All purchase order released should meet the SLA as per

9.1.4 The approval of purchase order for project specified purchase shall be done as specified below.

S.No	Purchase Value	PO Approved by	Remarks
1	Up to INR 1,00,000	Purchase Manager	P.O Shall be signed by Person designated by MD/CEO (Refer Annexure-a for designated person).
2	Above INR 1,00,000	MD/CEO	P.O shall be signed by Purchase manager after receiving formal approval from MD/CEO through email.

a. On release of the Purchase Order, Manager-Purchase shall ensure that information on the PO. that is PO Number, date and the expected delivery date are informed to the requestor and Finance team through e-mail.

b. Purchase Manager shall intimate the Suppliers/Vendors with approved purchase order via email.

c. PO Acknowledgement required from the Supplier within 3 working days from the date of issue of PO.

d. Purchasing of software, hardware and equipment shall be done through online source or manually.

e. Procurement of Embedded MRF shall be process only after receipt of advance payment as specified in the customer purchase order.

f. For Online Purchases of value more than Rs.10,000/ and above PO is mandatory. If quotation is not available, justification email from the

concerned team for opting that Supplier must be produced. Based on the confirmation email, PO shall be released for internal purpose and online purchase shall be approved.

g. Procurement of capital goods shall be accompanied with Purchase Order and on receipt of goods, the Goods Receipt Note shall be prepared.

h. Sub-contracting of software development work shall be done based on project/business needs. In addition to that if any manpower requirement is involved as per project requirement the same will be done by HR team with assistance of Purchase Manager.

i. Control of conforming and non-conforming specified hardware/software shall be implemented as defined in the process Configuration Management and Control of Non-Conforming Product respectively.

j. Purchase team shall release the PO within 1 week from the date of MRF. If po is not placed within the specified timeline due various reasons such as supplier delay engineering data and non-availability of resources shall be communicated to concerned requestor well in advance to plan alternative arrangements.

k. On receipt of the materials (Online for software purchase or Manual), GRN shall be done by purchase team and IR shall be generated by the concerned department as applicable.

l. Based on the IR and the GRN (as applicable) the payment shall be cleared for the delivered material.

m. Accepted materials shall be handed over to the requester.

n. All Purchase information shall be tracked using Purchase Tracking Sheet.

o. Materials Purchased and Utilized for the project, shall be billed to client (If Applicable), and reimbursed by the client in the following billing cycle. This shall be supported with back-to-back PO.

p. Purchase of material / service which not mentioned in the project proposal shall not be allowed. In case of critical need, PO needs to be amended with the client or material purchased with 100% advance payment from the client.

q. Purchase team shall decide the need for signing the NDA with Service based Suppliers. If Confidential Data such as Specifications, Drawings, Designs, Patterns/patents are to be shared with Suppliers or if the supplier is a subcontractor and is doing the work such as testing, then it is mandatory to get the NDA signed.

r. Purchase team shall decide the need for Contract or Service Level Agreement (SLA) for Service based Suppliers.

s. Purchase team shall meet weekly once or on need basis to review their activities and the details are recorded in minutes of meeting.

9.2 Supplier Selection, Registration, Assessment and Evaluation

9.2.1 Supplier Selection Criteria

a. Suppliers are selected based on the experience (or) based on requirements.

b. Preferred supplier (vendor) is selected based on the suggestion and approval from the concerned BU head.

c. Suppliers/Vendors should be aware of QMS standards. critical Suppliers/Vendors shall be certified ISO or equivalent certification standards such as NADCAP, ASTF etc. (as applicable). The certification requirements are not mandatory for Noncritical Suppliers/vendors/traders/service providers.

d. Vendors from online source are preferred and selected based on prior validation by the IT Team.

e. Supplier should meet all the statutory requirements of Utthunga.

- Supplier should meet all the technical and basic requirements.
- Supplier should have the capacity and financial stability to fulfill our requirements on time.

9.3 Supplier Registration

a. Purchase Manager shall collect profile and all other relevant statutory details using new Supplier registration form.

b. If the new Supplier meets all the statutory requirement of Utthunga, the Supplier code shall be created by accounts team as part of onboarding process.

c. Purchase Manager shall add the Supplier to the Approved Supplier List (ASL) after completion of trial order or Supplier/Vendor Assessments.

d. If the Supplier is already in ASL and the supplier evaluation rating above 80%, preference shall be given to such Suppliers in case of multiple quotes and feasibility in terms of technical, delivery and pricing.

e. If the Supplier is not listed in ASL, then, respective user shall suggest the Supplier for their requirement on the below criteria.

- Competence
- Techno commercial requirements

f. The Supplier information shall be sent for obtaining details of the Supplier - upon which purchasing process shall be initiated.

9.4 Supplier Assessment

a. Service based Supplier must be assessed based on type of vendor such as critical and non-critical.

Critical Vendors

- Supplier Information and Location.
- QMS.
- Type of services provided.
- Resource and facilities.
- Control on Design data.
- Manufacturing control.
- Testing capability.
- Control of Non-Conforming Materials.
- Supply chain Capability.
- ISMS Controls.

Non-Critical Vendors

- Supplier Information and Location.
- Type of services provided.
- Resource and facilities.
- Supply chain Capability.

b. Supplier Assessment shall be applicable for all Service based supplier like Manufacturer, Subcontractors, Testing Suppliers, and IT Service Providers.

c. Vendor for IT software & IT Hardware shall be validated by IT team prior to onboarding into Supplier Database.

d. The supplier assessment shall be carried out as below.

- Onsite or offsite audit shall be done at the vendor facility.
- Three trail orders will be placed and based on the performance the vendor can be added in the approved supplier list.

e. On assessment, the Suppliers with a score 75% and above shall be directly approved.

f. The Suppliers with a score of 60% and less shall be put on trial. Such Suppliers can be selected based on the past performance and shall be revaluated and approved.

g. Frequency of Assessment will be once in a year for reassessment of Suppliers.

9.5 Supplier Evaluation

a. Purchase Manager shall maintain the ASL.

b. Based on the successful completion of the trail purchase order supply by the critical Supplier and the same evaluation based on the Quality, Delivery, ISMS adherence, Support and communication shall be done using the Supplier Evaluation Form.

c. For Materials, Equipment's, Hardware, Software, Firmware, or any other purchases, which are initiated because of specific business needs such as project requirement, business potential driven by market as perceived by the management will NOT have any Supplier evaluation.

9.6 Supplier Onsite Inspection

9.6.1 Onsite In-process Inspection

a. Supplier Onsite Inspection shall be applicable for all Service based Suppliers such as Manufacturers, Subcontractors, Testing service providers and IT Service Providers.

b. For the purchasing of the equipment & products and directly shipping to the client location for the erection/commissioning technical /purchase team shall verify the materials at the supplier location before transporting to the client.

c. Inspection shall be carried out as per the QAP/Technical specifications provided along with purchase order checklist and acceptance/rejection will be done based on the defined criteria.

d. The Parts, material supplied to vendor for further processing at least as a minimum quality document such as inspection reports and material datasheets shall be reviewed and accepted by quality/technical person.

e. The Parts, material supplied to vendor covered under warranty of the manufacturer shall be processed further and the same shall be inspected during FAI.

f. All the requested test reports/certificates shall be verified as per the requirement specification at the onsite during clearance by quality/technical team.

9.6.2 Product Inspection

a. Quality/Technical Team shall verify the First Article Inspection (FAI) at the supplier premises. After approval of FAI report, Inspection report and datasheets as required by QAP, the supplier shall start the mass production. (If Applicable).

b. When the product is ready for dispatch at Supplier location, Test Certificates, working condition, physical damages, technical parameters as per requirement, Inspection reports and all other relevant documents shall be verified before clearance.

c. The Part/Items/Equipment's shall be rejected if one or more of the acceptance criteria is not met, document verification is not satisfactory, or if the material does not meet one or more of the acceptance criteria in the Inspection Criteria or QAP.

9.7 Direct Delivery to Customer

a. For the purchase of the equipment & products which are directly shipped to the client location for the erection & commissioning, material shall be verified by Quality/technical /purchase team at the supplier location before transporting to the client.

b. Inspection shall be done as per QAP, Technical specification shared along with purchase order. The acceptance criteria of the item, equipment's, materials shall be as defined in the QAP/Technical specifications.

c. All the requested test reports/certificates shall be verified as per the requirement specification at the onsite during clearance.

d. Technical Team shall verify the First Article Inspection (FAI) at supplier premises. After approval of FAI and report supplier should start the bulk process. (If Applicable).

e. At the stage of the final clearance for ready for dispatch at Supplier location, need to verify the Test Certificates, working conditions, damages, technical parameters as per our requirement, Inspection reports, and all other relevant documents as mentioned in the purchase order for clearance process.

f. If the product does not meet the expected results, Dispatch clearance will not be provided.

g. A shipment of material is rejected if Document Verification is not satisfactory, or if the material does not meet one or more of the acceptance criteria in the Inspection Criteria. For sample inspection, acceptance criteria are not met, if the number or percentage of nonconformities found in the sample is greater than or equal to the rejection number for the sampling plan.

h. Once the clearance is done, the Parts shall be marked or labelled as "**ok accepted**", at the stage of clearance. If the geometry of the parts is not feasible

for paint marking or labelling, the parts will be packed in one and paint marking, or label marking shall be done.

9.8 Re-evaluation

a. Once a year all the Suppliers with whom business was done in that financial year shall be evaluated to ensure that they provide products and services as expected.

b. The details of the same shall be recorded in the Overall Supplier Rating section of Supplier Evaluation Form.

c. Critical Supplier shall be evaluated on basis of adherence to Quality Requirements as stated below.

Quality		Delivery		Violations to ISMS		Communication		Support	
Rejection < 5%	30%	Delay< 1 week	30%	No security Breach	20%	Satisfactory	10%	Satisfactory	10%
Rejection < 15%	15%	Delay < 1 Month	15%	Security Breach	0%	Unsatisfactory	0%	Unsatisfactory	0%
Rejection > 15%	0%	Delay > 1 month	0%						

d. The noncritical supplier shall be evaluated on basis of adherence to Quality Requirements as stated below.

Quality		Delivery		Violations to ISMS		Communication		Support	
Rejection < 5%	40%	Delay< 1 week	40%	No security Breach	20%	Satisfactory	10%	Satisfactory	10%
Rejection < 15%	20%	Delay < 1 Month	20%	Security Breach	0%	Unsatisfactory	0%	Unsatisfactory	0%
Rejection > 15%	0%	Delay > 1 month	0%						

e. Purchase team shall be responsible for evaluation/re-evaluation of Suppliers.

f. If the Supplier does not qualify based on Supplier rating, the Supplier shall be removed from the ASL (as the case may be) as Deletion based on the approval from Purchase Head.

g. Supplier evaluation rating based on score is given as below:

- Greater Than 90% – Excellent
- Between 80% and 89% – Good
- Between 70% and 79% – Satisfactory
- Between 60% and 69% - Must improve

- Less than 60% – Poor

h. A Supplier who is once removed from the ASL shall be included only after completing the Supplier evaluation again as per the Supplier Evaluation Form.

9.9 Deletion

a. Supplier shall be deleted from the ASL, under the following conditions:

- If the Supplier does not meet the requirements consistently.
- If business was not done with the Supplier for at least two consecutive financial years.
- If the average rating of a Supplier goes below "Good" for two consecutive ratings

b. Removal of Suppliers from the ASL shall be done with approval from Head Purchase.

c. The reasons for removal shall be updated in the Rating section of the Supplier Evaluation Form.

9.10 Risk Management

a. Risk Assessment shall be conducted monthly and on need basis as per SOP - Risk & Opportunity Management

b. Risks shall be categorized & documented based on Issue, Asset, Interested Party & opportunity.

9.11 Goods Receipt Note (GRN) and Inspection Report (IR)

a. On receiving the material (Online or Manual), materials are inspected, and the observation details are recorded in the GRN and IR. The inspection shall be done in two layers.

b. For software procurement the receiving inspection and approval will be done by IT team and after acceptance GRN and IT database shall be updated.

c. The first layer of inspection shall be done by the Purchase team on receipt of goods that are received at Utthunga's premises. The goods received at site shall be received by person designated by Site in charge or Project Manager. It is then handed over to the respective project team for second layer of inspection.

d. First Layer of inspection is to assess the authenticity of the product and physical damage to it. Following checks/inspection shall be followed.

- Checking products against the Purchase Order.
- Quantity & Brand
- Any other special terms and conditions, if specified in the PO.

e. If the First layer inspection is found acceptable Purchase team or person designated by site in charge/project manager at site shall generate the GRN as applicable.

f. The second layer of inspection is done by the quality/technical person to validate the expected behavior or requirement.

g. For the acceptance of outsourced deliverables, IR shall be prepared with type of checks and criteria for acceptance and same report shall be enclosed with the GRN.

h. The accepted items/materials/equipment's shall be moved to the concerned storage area as designated.

i. The rejected/ defective items will be marked by red tape/marker and stored in quarantine area; an intimation shall be sent to purchase team to initiate replacement/recover from the concerned supplier/vendor.

j. Based on the inspection GRN shall be accepted by quality/concern user/requestor.

k. The accepted items/materials/equipment's shall be moved to stock storage area by concerned users as designated in utthunga premises and person designated by project manager/site in charge in site.

l. The stock register/asset register shall be updated by concerned users in utthunga premises and person designated by project manager/site in charge in site after items/parts/equipment's GRN's is accepted by concerned requestor/technical/quality team as applicable.

m. Based on the acceptance of GRN payment processing will be done.

n. In case if the material is declared rejected during inspection the supplier shall bare the shipment cost for return.

o. If received item is an asset, GRN and IR shall be completed by the requester and item shall be added to asset inventory.

p. Asset inventory shall be maintained by respective team/person designated by project manager/site in charge.

9.12 Payment Policy

a. For Purchases of materials/services, payment terms and conditions will be varying from case to case. Minimum of 30 days of credit period from the date of invoice is a must for all purchases unless there is a deviation approved by BU Head / CFO is produced.

b. For material purchases less than INR 10,000/- PO is optional.

c. If any purchase done without MRF or prior approval from BU head/department head the payment shall not be reimbursed.

d. Documents such as Invoice, GRN and BU Approval must be submitted to accounts team for processing payments.

e. It is mandatory to have security seal for inward of materials purchased.

f. For Purchase of Materials/Services more than INR 10,000/- (Asset, Hardware, Software, Services) hard copies of MRF, MRF Approval, PO, GRN and IR, Invoice with Inward Seal, BU Head Invoice Approval must be submitted to the accounts team for processing the payment by the respective team.

g. The invoices shall be verified/reviewed against the actuals stated in the Quote / PO by the purchase and accounts team.

h. Supplier payment shall be made on 10th and 25th Cycle of every month.

i. All invoice payments shall be paid as per Utthunga' s payment cycle.

j. Payment shall be made through cheque or electronic mode only.

k. In case of delayed payments, procurement manager shall update the payment date to the requester after consulting the accounts team.

l. For foreign currency wire transfer payments, minimum time taken is 15 days from the date of receipt of documents.

m. All soft copies of the Invoice, Invoice Approval, GRN and IR shall be maintained in the Purchase team's document repository which is SVN.

n. All hardcopies of invoices and payment records shall be maintained by the Finance team.

o. Payment entries are maintained in the Tally/ERP tool for finance records.

9.13 Inventory Management

a. Inventory management includes the process of ordering, storing, and using company's inventory that is both components and finished products.

b. Inventory Items list shall be maintained by the respective teams (Hardware, IT Consumables, etc....)

Inventory Type	**Responsible**
Hardware/Components Procured for Lab	Embedded Lab Manager
IT Assets	IT Manager
Consumables	Admin Head
Items/Parts/Equipment's delivered to Site	Site in charge/Project Manager/Storekeeper

c. Asset register shall be maintained by the respective teams in the central repository.

d. Customer Supplied Item register shall be maintained by the respective project teams when in use and master list maintained by admin in the central repository.

e. Purchase team shall do periodic audits (6 months once) to verify the physical inventory stocks with the system stocks (Stock list provided by Respective Managers such as Lab Manager, Admin Manager etc).

f. While receiving MRF from the respective teams, Inventory stock is verified by the Purchase team. After verifying the stocks, Purchase Head shall be proceeding with the purchase activities. If the stock is available for the requested items, Purchase shall not be initiated, MRF shall be returned to the respective teams.

g. Follow the FIFO approach (First In, First Out) for items using for the projects.

h. Scrap register shall be maintained by the respective teams for tracking the scraped items with proper reasons.

9.14 Information Security requirements

a. Supplier shall be assessed on basis of adherence to information security requirements specified by the Utthunga.

b. Supplier shall sign the NDA with the organization if required. NDA is Applicable for all Service based Suppliers. It is also applicable when confidential Data such as Specifications, Drawings, Designs, Patterns is to be shared to the Suppliers (Subcontractors, Consultants & Testing)

c. ICT (Information Communications Technology) based Suppliers shall also be monitored on agreed SLA's (Service Level Agreements)

10 References

a. ISO 9001 Clauses 8.4.1, 8.4.2, 8.4.3

b. ISO 27001 Clauses 8.1, Controls A15

11 Metrics

a. On-Time Supply of Materials/Services from Vendors

b. Vendor Quality Performances

c. % of orders delivered with damaged products/items

d. % of orders that were captured with incorrect attributes

e. No. of New Vendor's Onboarded

f. Percentage of problem Suppliers

g. Range in number of orders issued.

h. No. of Short Notice Purchase Orders

i. No. of. supplier/vendors deleted form ASL.

12 Annexures

a. Designated Person for PO approval – Savitha.j@utthunga.com

b. SLA

Sub Process Description	SLA Timeline	Responsible
Material Request Form (MRF) Processing	2 Working days from Procurement enablement completion	Procurement Manager
RFQ Processing & Vendor Shortlisting	5 Working Days from MRF processing	Procurement Manager
Technical Evaluation	5 Working Days from RFQ Processing & Vendor Shortlisting	Requestor
Commercial Evaluation	3 Working Days from Technical evaluation	Procurement Manager/Finance Manager
Purchase Order (PO) Issuance	1 Working Day after Commercial Evaluation	Procurement Manager

13 Forms

a. Material Request Form UT/SF/PRO/TMP/01.

b. Purchase Order Form UT/SF/PRO/TMP/02.

c. New Vendor Registration Form UT/SF/PRO/TMP/03.

d. Approved Vendor List UT/SF/PRO/TMP/04.

e. Vendor Evaluation Form UT/SF/PRO/TMP/05.

f. Goods Receipt and Inspection Report UT/SF/PRO/TMP/06.

g. Verbal Order Registration Form UT/SF/PRO/TMP/07.

h. Material Request Tracking Form UT/SF/PRO/TMP/08.

i. Bill of Materials UT/SF/PRO/TMP/10.

j. Materials Dispatch Checklist UT/SF/PRO/TMP/11.

k. Incoming Inspection Report UT/SF/PRO/TMP/12.

l. Software Bill of Materials UT/SF/PRO/TMP/13.

m. Supplier Evaluation IT UT/SF/PRO/TMP/14.

n. Check List for Purchase order UT/SF/PUR/TMP/20.

o. Request for quotation. UT/SF/PUR/TMP/21.